POLARIS Inc.

Credit Assessment

Name: Alia Phan

Date: 22 Oct 2025

Executive Summary

Polaris Inc. – Leading Global Powersports Manufacturer

BUSINESS OVERVIEW

Company: Polaris Inc., founded in 1954, manufactures premium powersports vehicles and maintains the strong market position in North America.

Market Position: #1 in Powersports with iconic brands (POLARIS, INDIAN MOTORCYCLE, RANGER)

FY2023 Revenue: $8.9B | **Gross Margin:** 21.9%

PRIMARY CONCERNS

- **FCCR 0.26x:** Cannot cover obligations from operations
- **Profitability Collapse:** Q2 EPS ↓43%, EBITDA margin ↓188bps
- **Dealer Inventory Crisis:** +55% YoY forcing 15-20% production cuts

CREDIT PROFILE (12/31/2023)

TOTAL DEBT	EBITDA	LEVERAGE
$1,908M	$1,004M	1.90x

FCCR	LIQUIDITY
0.26x	$1,132M

⚠ **Critical:** FCCR below 1.0x to 1.25x threshold

KEY INVESTMENT HIGHLIGHTS

- **Strong Brand Equity:** Market leader with 70+ years of heritage
- **Diversified Portfolio:** Off-Road (78%), On Road (15%), Marine (7%)
- **Adequate Liquidity:** $1.1B cushion provides near-term flexibility

RECOMMENDATION: CONDITIONAL APPROVAL

Secured Credit Line with Enhanced Terms

- **Strengths:** Strong brand equity, market leadership, adequate liquidity ($1.1B)
- **Risks:** Weak FCCR (0.26x), industry cyclicality, elevated inventory
- **Conditions:** Quarterly covenant testing, inventory monitoring, restricted dividends

Business & Industry Overview

Understanding Polaris' Operations & Market Dynamics

WHAT POLARIS DOES

Leading global manufacturer, designer and distributer powersports vehicles, including off-road vehicles (ORVs), snowmobiles, motorcycles, and boats. Through a network of **2,000+ dealers** across North America and international markets.

CORE BUSINESS SEGMENTS

- **Off-Road Vehicles (78%):** RANGER, RZR, Sportsman ATVs
- **On Road (15%):** Indian Motorcycles, Slingshot
- **Marine (7%):** Bennington, Godfrey pontoons
- **PG&A :** Parts, garments, accessories *(included in above segments)*

BUSINESS MODEL

- **Manufacturing:** Vertically integrated production in US and Mexico facilities
- **Distribution:** Independent dealer network handles retail sales and service
- **Revenue Model:** Wholesale unit sales + high-margin aftermarket (PG&A)
- **Innovation Focus:** Continuous R&D investment

INDUSTRY CHARACTERISTICS

Mature & Cyclical

- Highly correlated with consumer discretionary spending
- Sensitive to economic health and consumer confidence
- Interest rate sensitive: Most purchases financed, higher rates reduce affordability

Seasonal Sales

- Snowmobiles peak in Q4 (Oct-Dec)
- ORVs peak in Spring/Summer (Mar-Jun)

Intense Competition

- Arctic Cat (Textron), BRP (Can-Am, Sea-Doo)
- Honda, Yamaha, Kawasaki in ATVs
- Harley-Davidson in Motorcycles

Regulatory Environment

- Emissions standards (EPA, CARB)
- Safety regulations across all segments

Competitive Advantages

Why Polaris Merits Credit Consideration

Brand Leadership & Market Share

- **#1 Market Share in North America ORVs:** Commanding position in key segments
- **Held/gained share in Q2 2024 downturn:** Demonstrates competitive resilience
- **Premium Brand Portfolio:** RZR, RANGER, Indian Motorcycle command pricing power
- **Brand Loyalty:** Strong customer retention and repeat purchase rates

Innovation & R&D Excellence

- **Product Innovation:** Continuous new product pipeline (XPEDITION, RANGER XD 1500, RZR XP, Indian Scout)
- **Technology Leadership:** Electric platforms (RANGER XP Kinetic), RIDE COMMAND+ digital integration
- **Customer Experience:** Focus on rider-driven innovation and enhanced user experience
- **First-Mover Advantage:** Quick to market with trend-setting products

Extensive Dealer Network & Distribution

- **2,000+ Dealer Network:** Extensive, loyal dealer relationships across North America and International markets
- **Direct Channel Access:** Strong dealer partnerships provide competitive moat and market insights
- **Dealer Profitability:** Polaris is the most profitable OEM for dealers (per dealer survey)
- **Collaborative Approach:** Working with dealers to manage inventory and optimize sell-through

Operational Efficiency & Cost Management

- **Manufacturing Excellence:** Lean model lines in Huntsville and Monterrey facilities
- **Cost Savings Program:** ~$50M in operational savings realized YTD 2024
- **Vertical Integration:** Control over key production processes protects margins
- **Supply Chain Management:** Focused efforts to reduce variability and improve efficiency

Management Assessment

- **Experienced team:** CEO Mike Speetzen (15+ years at Polaris)
- **Proactive response:** Quickly cut production when inventory spiked
- **Track record:** Successfully integrated Indian Motorcycles acquisition
- **Concern:** Overly optimistic 2023 guidance; credibility gap

Key Business Risks

Critical Concerns for Credit Underwriting

⚠ Elevated Dealer Inventory Levels (CRITICAL RISK – LIQUIDITY IMPACT)

- **Current Situation:** ORV inventory +55% YoY, Snowmobile +120% YoY; shipments cut 15-20% in FY2024 to force destocking
- **Impact on Margins:** Promotions at 2019+ levels driving negative net pricing (gross margin compressed 90bps to 21.9%)
- **Absorption Pressure:** Production cuts = $1.90M adjusted EPS hit from unfavorable plant absorption; fixed cost increase
- **Dealer Profitability:** High inventory + elevated flooring costs = order cancellation risk; dealers managing cash conservatively
- **Risk Outlook:** Company targeting 15-20% inventory reduction by year-end, requiring continued shipment discipline

📉 Consumer Cyclicality & Macroeconomic Sensitivity (DEMAND RISK)

- **Discretionary Spending:** Powersports are highly discretionary; sensitive to economic downturns and consumer confidence
- **Interest Rate Impact:** Higher rates = higher monthly payments, reducing affordability for financed purchases
- **Current Headwinds:** Q2 2024 retail down 8% YoY; persistent inflation pressuring consumer share of wallet
- **Recession Risk:** A significant economic downturn would materially impact sales and profitability across all segments

🔗 Supply Chain & Input Cost Volatility (OPERATIONAL RISK)

- **Global Dependencies:** Reliance on global supply chains (semiconductors, electronic components) creates disruption risk
- **Commodity Exposure:** Steel, aluminum, resin prices subject to volatility and inflationary pressure
- **FX Headwinds:** Canadian dollar, Euro, and Peso weakness creating ~$30M EBITDA headwind in 2024
- **Pricing Power Limits:** Competitive intensity limits ability to fully pass through cost increases

⚔ Competitive Intensity & Innovation Requirements (STRATEGIC/CASH FLOW RISK)

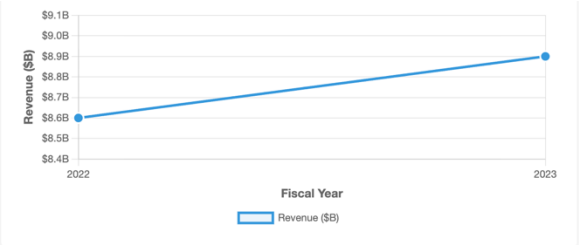
- **Constant R&D Need:** Must continuously invest in innovation to maintain market position (~$275M capex in 2024)
- **Market Share Pressure:** Lost share in Indian Motorcycles during Q2 2024; intense competition from Harley, BRP, Textron
- **Cash Flow Impact:** High capex and R&D requirements constrain free cash flow generation
- **Technology Disruption:** Electric vehicle transition requires significant investment with uncertain returns

Historical & Current Financial Performance

Understanding the Financial Trajectory

REVENUE TREND (2022-2023)

FY2023: $8.9B | **FY2022: $8.6B** | Growth: +4%



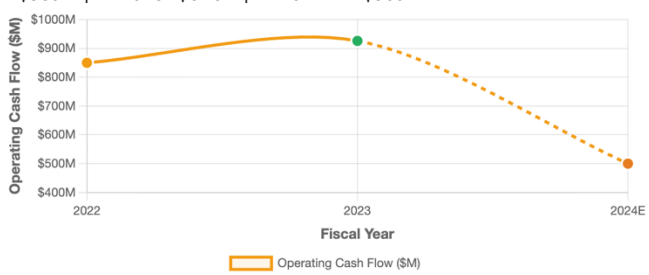
EBITDA MARGIN TREND

FY2023: 11.4% | **FY2022: 12.4%** | Down 100 bps



OPERATING CASH FLOW

FY2022: ~$850M | **FY2023: $926M** | **FY2024E: ~$500M**



Q2 2024 PERFORMANCE

Recent Softening:

- Sales: $2.0B (↓12%)
- EBITDA: $198M, 10.1% (↓188 bps)
- Adjusted EPS: $1.38 (↓43%)
- NA retail: ↓8%

📊 **Key Takeaway:**

Historical (2022-2023):

- Post-pandemic growth plateaued; FY2023 revenue +4% but EBITDA margin ↓100bps.
- Profitability pressure emerging: Gross margin compression from competitive intensity

Current Reality (Q2 2024 & FY2024 Outlook):

- Q2 2024: Sales ↓12%, EBITDA margin ↓188bps, EPS ↓43%
- Root Causes: Dealer inventory overhang, retail demand ↓8%, promotional pricing
- FY2024 Guidance: Sales $7.2-7.4B (↓17%), EPS $3.50-4.00 (↓56-62%)

Financial Analysis & Credit Metrics

Quantitative Assessment of Credit Risk

LEVERAGE RATIO

2.5x

↑ from 1.90x (FY2023) | Peer avg: 1.8-2.2x

INTEREST COVERAGE

6.0x

↓ from 8.0x (FY2023) | Industry median: 7-8x

FIXED CHARGE COVERAGE

0.22x

⚠ Below 1.0x threshold | Unable to cover fixed charges

LIQUIDITY

$1.05B

Adequate near-term cushion maintained

KEY CONCERNS

Deteriorating Profitability

- EBITDA declined $61.6M (5.8%) from FY2022 to FY2023: $1,066M → $1,004M
- Net Income fell $100.7M (16.7%): $603M → $503M
- Gross margin compressed 90 basis points: 22.8% → 21.9%

Cash Flow Strain

- Annual obligations total $680M: Capex $413M + Interest $125M + Dividends $147M
- EBITDA of $1,004M barely covers obligations before debt repayment
- Free cash flow after capex and dividends = ~$444M, insufficient for $2.9B debt payments

Liquidity Composition Risk

- Only $368M is actual cash; remaining $764M is revolver availability
- Banks can reduce revolver if covenant metrics deteriorate further
- Current cushion provides only 6-7 months of coverage for annual needs

Liquidity Composition Risk

- At current trend, will likely breach 3.0x leverage limit by Q4 2024
- Would trigger: Loan repayment or expensive covenant waiver
- Bank could reduce the $764M credit line access

Summary: Polaris **cannot cover its obligations from operations** - it's relying on cash reserves and credit lines to fund payments. Without improvement in profits or major cost cuts (capex, dividends), the company faces **covenant violations within 12-18 months**.

Risk Level: **MODERATE-TO-HIGH** (Deteriorating)

Lending Decision: **APPROVE WITH CONDITIONS -** structured as senior secured loan with strict protections, meaningful equity investment, and higher interest rates to reflect risk.

Conclusion & Recommendation

Synthesized Credit Decision

Balanced View

Polaris possesses undeniable strengths through its powerful brand portfolio, market leadership (#1 in NA ORVs/Snowmobiles), and extensive dealer network.

However, these are offset by significant near-term risks: elevated dealer inventory, consumer cyclicality, and margin compression.

Financial Analysis

Risk reflected in metrics:

- Leverage rising: 1.90x (FY23) to ~2.5x (LTM Q2 24)
- Interest coverage declining: 8.0x to ~6.0x
- FCCR critically weak: 0.26x, below 1.0x minimum
- Cash flow pressure: Operating CF down ~50% to $500M

🚨 CONDITIONAL APPROVAL

Senior secured revolving credit facility with enhanced covenants:

- **Structure:** Asset-based lending against receivables/inventory
- **Max Leverage:** Total Debt/EBITDA ≤ 3.0x (quarterly)
- **Min Interest Coverage:** EBITDA/Interest ≥ 5.0x
- **FCCR Monitoring:** Improvement plan if < 0.75x
- **Inventory Covenants:** Quarterly reduction targets
- **Dividend Restrictions:** Limit growth; 75% FCF retention if leverage >2.75x
- **Reporting:** Monthly financials, quarterly inventory aging
- **Pricing:** SOFR + 175-200 bps; step-downs on improvement

Rationale: Strong brand merits support, but weak FCCR and cyclical headwinds require enhanced protections and close monitoring.

Appendix & Supporting Analysis

Detailed Calculations & Key Assumptions

FINANCIAL METRIC CALCULATIONS

See accompanying Excel workbook for detailed calculations

Metric	Formula	FY2022	FY2023
EBITDA	NI + Interest + Tax + D&A	$1,065.9M	$1,004M
Total Debt	Current LT Debt + LT Debt	$2,057.8M	$1,908M
Leverage	Total Debt / EBITDA	1.93x	1.90x
Interest Coverage	EBITDA / Interest Expense	14.8x	8.0x
Fixed Charges	Interest + Taxes + Capex + Debt Pmts + Dividends	$3,452M	$3,796M
FCCR	EBITDA / Fixed Charges	0.31x	0.26x
Total Liquidity	Cash & Equivalents + Other Liquidity Sources	$1,011.6M	$1,132M
Free Cash Flow	Operating CF - Capex	$227.9M	$513.2M

DATA SOURCES

- **SEC 10-K (FY2023):** Annual Report filed December 31, 2023
- **Q2 2024 Earnings Presentation:** July 23, 2024 (Polaris Inc.)
- **Credit Metrics Workbook:** EBITDA, leverage, and FCCR calculations
- **Industry Research:** Powersports industry reports, competitive analysis
- **Company Website:** Investor relations materials, product information

KEY ASSUMPTIONS

- **LTM Q2 2024 Calculations:** Based on FY2023 data adjusted for Q2 2024 run-rate performance (sales -12% YoY, EBITDA margin ~10.1%)
- **Industry Benchmarks:** Investment-grade powersports/consumer cyclicals typically target leverage <3.0x and interest coverage >5.0x
- **FCCR Threshold:** 1.0x minimum indicates ability to cover all fixed obligations from operating cash flow
- **Liquidity:** Includes $368M cash + $764M available on revolving credit facility (per 10-K footnotes)
- **2024 Guidance:** Management lowered FY2024 outlook to sales of $7.2-7.4B (-17% YoY) and adjusted EPS of $3.50-4.00 (-56-62% YoY)
- **Dealer Inventory:** Company targeting 15-20% reduction by year-end 2024 from elevated Q2 levels
- **FX Impact:** ~$30M EBITDA headwind in 2024 from Canadian dollar, Euro, and Peso weakness
- **Operational Savings:** ~$50M realized YTD 2024 from manufacturing and supply chain efficiency initiatives

ADDITIONAL CONSIDERATIONS

- **Credit Rating:** Current ratings not publicly disclosed; likely BB+/BBB- range based on metrics
- **Covenant Cushion:** Recommend quarterly testing with 15-20% cushion on key ratios
- **Collateral Coverage:** Asset-based lending structure should target 75-80% advance rates on eligible A/R and inventory
- **Market Conditions:** Monitor consumer confidence, interest rate trajectory, unemployment trends
- **Competition:** Track BRP, Textron, and H-D market share and pricing actions
- **Management Actions:** Quarterly review of inventory reduction progress and operational efficiency initiatives

Prepared by: Alia Phan | Commercial Credit Analysis | phanthaolinh05@gmail.com